

Info Edge (India) Ltd

Investment Rating : Excellent

Company Overview

Website	http://www.infoedge.in/
Sector	nan
Market Cap	563,824.44 Cr
PE Ratio	32.88
PB Ratio	8.33
Dividend Yield	4.29 %

Financial Quality

ROE	2.44
ROCE	3.65
CFO Quality	Accrual Risk
FCF CAGR	nan%
Capital Pattern	Balanced

Capital Allocation

Capital Score	100.0
Reinvestment	Aggressive Expansion
Debt Trend	Increasing Debt
Leverage	Low

Business Overview

Info Edge is India's premier online classified company with a portfolio of brands. It owns various brands in different fields like naukri.com (online recruitment), 99acres.com (online real estate), jeevansathi.com (online matrimonial) as well as shiksha.com (online education information services). It also acts as an investor and has invested in many start-ups in the online space and is actively growing its investment portfolio.

Strengths

Strong free cash flow generation over 5 years signals healthy business fundamentals. Revenue growing above 15% CAGR over 5 years reflects strong business momentum. Operating profit margin above 25% indicates strong pricing power and cost discipline. Very high interest coverage ratio reflects negligible financial stress from debt servicing. Consistent dividend yield above 2% backed by positive free cash flow.

Risks

Rising debt over the past 3 years suggests increasing financial leverage risk.

Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital.